

HOUSING SHORTAGE

Components of Housing Shortage

Households residing in unacceptable conditions

Obsolescence Factor

- Non Serviceable Katcha (temporary) Houses
- All bad houses excluding those less than 40 years old
- 80 years old houses(Old structurally weak)

Congestion Factor (Unacceptable as per social norms)

- Households with one or more married couples sharing room with a person aged 12 years or more

Houselessness

Households living without any house(open, pavements)

AFFORDABLE HOUSING

Affordable housing is a term used to describe dwelling units whose total housing cost are deemed “Affordable” to a **group of people** within a **specified income range**.

Affordability is a **relative concept**.

A “one size fits all” approach cannot really do justice to defining affordability especially in the context of a country as large and diversified as India. Affordability in the context of urban housing would mean provision of “adequate shelter” on a sustained basis ensuring security of tenure within the means of the common urban household.

Affordable housing: Generally affordability is taken as 3-4 times the annual income.

However in all schemes and projects where subsidy is offered by the State / Central Govts for individual dwelling units with a carpet area of not more than 60 sq. m., then the price range of a maximum of 5 times the annual income of the household, either as a single unit or part of a building complex with multiple dwelling units will be taken as affordability entitlement.

DEEPAK PAREKH COMMITTEE REPORT (2008) : Defines affordable housing for two tiers of income groups:

For **MIG** as, A unit with a carpet area not exceeding **1200 sq ft**,
Cost not exceeding **5 times the household's gross yearly income**
EMI/rent not exceeding **40 percent of the household's monthly income**

Figure 3: Definition of Affordable Housing – MHUPA (2008)

	Size	Cost	EMI or Rent
EWS	300 - 600 sq ft carpet area	not exceeding four times the household gross annual income	not exceeding 30% of gross monthly income of buyer
MIG	not exceeding 1,200 sq ft carpet area	not exceeding five times the household gross annual income	not exceeding 40% of gross monthly income of buyer

Source: Task Force on Affordable Housing, MHUPA, 2008

Concepts and issues: Deepakh Parekh Committee Report

- i. Recognizes affordability as a **relative concept in terms of space and time**, however provides parameters that define boundaries
- ii. Is conscious that housing finance is largely a private sector activity, however **the Govt. with fiscal initiatives and a responsive financial environment can trigger the private sector** to provide inclusive housing in the open market
- iii. Recognizes that **‘a one size fits all’ approach is counter-productive** for large and diversified country like India
- iv. Visualizes the **household size as five**
- v. Holds the view that **urban land policy in India is long outdated** and unfit for ‘affordable housing sector’, cost of regulating the land market is extremely high both to the economy and urban households
- vi. Recommends an **upward revision of FAR/FSI index**
- vii. Identifies **in-situ developments in public lands as one of the most effective approaches** towards affordable housing in partnership by government
- viii. Recognizes **rental housing** as an important component of affordable housing
- ix. Recommends the **role of state housing boards** to be revamped for provision of affordable housing
- x. Recommends **alternative low cost building technologies**

Ministry of Housing and Urban Affairs (MoHUA) defines affordable housing according to different income brackets as :

- (i) Economical Weaker Section (EWS) with income level less than INR 3 lac p.a. and a dwelling unit size up to 30 sq.m,
- (ii) Lower Income Group (LIG) with income between INR 3 lacs to 6 lacs , dwelling unit size up to 60 sq.m
- (iii) Middle Income Group I (MIG-I), with income range INR 6 - 12 lac, dwelling unit size 90 - 120 sqm
- (iv) Middle Income Group II (MIG-II), with income range INR 12 - 18lac, dwelling unit size 110 - 150 sqm.

A housing unit is considered affordable if the EMI or rent does not exceed 30 percent of gross monthly income of buyer.

Carpet Area: The net usable floor area of an apartment, excluding the area covered by the external walls, areas under services shafts, exclusive balcony or verandah area and exclusive open terrace area, but includes the area covered by the internal partition walls of the apartment.

A **beneficiary family** will comprise husband, wife, unmarried sons and/or unmarried daughters. The beneficiary family should not own a pucca house either in his/her name or in the name of any member of his/her family in any part of India to be eligible to receive central assistance under the mission.

Objective

Housing for All

Institutional Approach

Affordability
to Buy

Private Sector
Developers

Government Agencies
ULBs, UDDs, MoEF, RBI

Financial Institutions
Banks, NBFCs and other
Financial Institutions

Affordability
to Rent

Enablers
Self Help Groups, NGOs,
Registered Societies

Providers
ULBs, Financial Institutions,
Government Departments,
Research Institutes

Executor
Private Developers, PSUs,
PPP Companies

Key Initiatives taken by India

- i. The **National Housing Policy was revised in 2007** with a special focus on housing for urban poor.
- ii. A taskforce was set up in 2008 to **ascertain what steps needed to be taken to accelerate housing supply**.
- iii. There is a marked **shift from the reliance on public sector housing** and the importance of incentivising private sector is understood and acknowledged by the Government.
- iv. Guidelines for Rajiv Awas Yojna have been drawn, which would ensure that **poor are accorded legal property rights**. While this is a very challenging task, gradual progress on this front would **empower the poor**, thereby encouraging the private sector to focus on this segment.
- v. A **slum survey** was conducted to ascertain the magnitude of the slum population.

- vi. A survey to track housing starts in the country has also been commissioned by Reserve Bank of India, which would be operationalised by National Building Organisation. This is a much needed initiative to **monitor how much housing India is collectively producing** every year.
- vii. States are undertaking upward revision of permissible floor space index (FSI) or floor area ratio (FAR), wherever requisite infrastructure is available or can be developed.
- viii. The Government has constituted a committee and is working out the modalities of **setting up a micro finance company**.
- ix. **State governments are willing to provide cross subsidies to developers** in form of transferable development rights (TDR) or higher FSI, to incentivize low cost housing.
- x. A few developers have seen the business opportunity that is waiting to be tapped and are devising innovative models and strategies to churn out **low cost houses at a faster pace**.

Thank you.....